Canada Bread Company, Limited

Management's Discussion and Analysis

For the third quarter ended September 30, 2011

October 26, 2011

Financial Overview

Sales for the third quarter increased 1.4% to $417.2 million compared to $411.4 million last year. After adjusting for the impacts of the sale of the Company's fresh sandwich product line in February of 2011 and currency translation on U.K. and U.S. sales from a stronger Canadian dollar, sales increased by 5.0% compared to last year, mostly due to price increases implemented in the first half of 2011. Year-to-date sales of $1,195.2 million were consistent with last year. After adjusting for the impact of a sale of the sandwich product line and the impact of a stronger Canadian dollar, sales increased 3.2%.

Adjusted Operating Earnings for the third quarter were $31.8 million, compared to $32.8 million in the prior year. The Company experienced some margin compression as price increases implemented earlier in the year were not sufficient to fully manage the impact of a continued rise in raw material costs. Reduced costs resulting from operating efficiencies in the Company's frozen bakery business and lower selling, general and administrative expenses as a result of reduced promotional costs in the Company's fresh bakery, and cost reduction initiatives implemented earlier in the year in the fresh and frozen bakery operations, helped mitigate this impact. Year-to-date Adjusted Operating Earnings of $83.6 million was consistent with $84.1 million last year driven by the same factors that affected the third quarter.

Adjusted Earnings per Share for the third quarter increased to $1.24 from $0.87 last year, and included $9.8 million ($0.38 per share) related to a tax adjustment associated with a prior acquisition. For the first nine months of 2011, Adjusted Earnings per Share were $2.76, including $12.2 million ($0.48 per share) related to tax adjustments, compared to $2.27 in the first nine months of 2010.

Net earnings in the quarter increased to $30.3 million ($1.19 basic earnings per share) from net earnings of $14.3 million ($0.56 basic earnings per share) in the third quarter of 2010. Net earnings in the quarter included $1.6 million of pre-tax costs related to restructuring activities (2010: $10.5 million). Year-to-date net earnings were $44.2 million ($1.74 basic earnings per share) compared to $48.2 million ($1.90 basic earnings per share) last year and included $34.2 million pre-tax restructuring costs (2010: $13.0 million).

Note: Adjusted Operating Earnings are defined as earnings from operations before restructuring and other related costs and other income (expense). Adjusted Earnings per Share ("Adjusted EPS") are defined as basic earnings per share adjusted for the impact of restructuring and other related costs, net of tax. Please refer to the section entitled "Non-IFRS Financial Measures" starting on page 7 of this Management's Discussion and Analysis for a description and reconciliation of all non-IFRS financial measures.

Operating Review

The following table summarizes sales by business segment:

(Unaudited)	Third Quarter		Year-to-Date	
($ thousands)	**2011**	2010	**2011**	2010
Fresh Bakery	**$ 287,923**	$ 285,232	**$ 825,372**	$ 824,951
Frozen Bakery	**129,248**	126,132	**369,804**	370,407
Total Sales	**$ 417,171**	$ 411,364	**$ 1,195,176**	$ 1,195,358

The following table summarizes Adjusted Operating Earnings by business segment:

(Unaudited)	Third Quarter		Year-to-Date	
($ thousands)	**2011**	2010	**2011**	2010
Fresh Bakery	**$ 29,198**	$ 30,633	**$ 80,394**	$ 79,316
Frozen Bakery	**2,565**	2,120	**3,196**	4,796
Adjusted Operating Earnings	**$ 31,763**	$ 32,753	**$ 83,590**	$ 84,112

Fresh Bakery

Includes fresh bakery products, including breads, rolls, bagels, sweet goods, and fresh pasta and sauces sold to retail, foodservice and convenience channels. It includes national brands such as Dempster's® and Olivieri® and many leading regional brands.

Fresh Bakery sales for the third quarter of $287.9 million were largely consistent with last year. After adjusting for the impact of the sale of the Company's fresh sandwich product line, sales increased 4.9% primarily benefiting from price increases implemented in the first half of 2011. Fresh Bakery sales volumes improved slightly due to increased retail sales volumes. Similar factors impacted the year-to-date sales of $825.4 million compared to $825.0 million last year. After adjusting for the impact of the sandwich product line divestiture, year-to-date sales increased 3.6%.

Adjusted Operating Earnings were $29.2 million compared to $30.6 million last year. During the quarter, margin compression resulting from price increases implemented in the first half of 2011 that were not sufficient to fully offset the continued rise in wheat cost was largely mitigated by cost reduction initiatives and lower promotional expenses as a result of large campaigns in the third quarter of 2010 that were not repeated this year. During the quarter the Company also benefited from the sale of its fresh sandwich product line in February 2011.

During the quarter, Fresh Bakery recorded approximately $2.3 million of duplicative overhead costs, as the Company continues to operate three sub-scale bakeries as it gradually transitions production to its newly commissioned fresh bakery in Hamilton, Ontario, which officially opened on September 28, 2011. Production lines for rolls and breads are now in operation, and another two lines are planned to start commercial production by the end of 2011. The final four lines, including flat breads, are planned for 2012. The Company plans to gradually transfer production from three bakeries in the Greater Toronto Area, and proceed with their closures between the end of 2011 through to early 2013. These duplicate costs are estimated to be approximately $2.5 million to $3.0 million in the fourth quarter of 2011. The Company expects to incur further duplicative overhead costs during 2012. This estimate is based on the current and projected costs for the existing and new facilities and is provided solely to help understand operating performance during the transition period.

Year-to-date Adjusted Operating Earnings of $80.4 million is consistent with $79.3 million last year.

Frozen Bakery

Includes frozen bakery products, including frozen par-baked bakery products, specialty and artisan breads, and bagels sold to retail, foodservice and convenience channels in North America and the U.K. It includes national brands such as Tenderflake® and New York Bakery Co™.

Frozen Bakery sales for the third quarter increased 2.5% to $129.2 million from $126.1 million last year. After adjusting for the impact of currency translation on sales in the U.S. and U.K., sales increased 5.3%, predominantly as a result of price increases implemented earlier in 2011. Sales volumes were slightly lower than last year, mainly due to a modest decline in North American frozen bakery sales volumes. In the U.K. operations, sales volumes increased benefiting from continued growth in bagel sales. Sales for the first nine months of $369.8 million were consistent with $370.4 million last year, as the benefit of price increases implemented earlier in 2011 was offset by lower sales volumes.

Adjusted Operating Earnings in Frozen Bakery for the third quarter increased to $2.6 million from $2.1 million last year largely driven by improved margins in the U.K. bakery operations. Earnings benefited from price increases implemented during the first half of the year, and efficiency gains from the closure of the North American frozen bakery in Laval, Quebec, as well as the consolidation of production in the U.K. These benefits were partly offset by the impact of higher raw material costs.

Year-to-date Adjusted Operating Earnings declined to $3.2 million compared to $4.8 million last year, mostly driven by the impact of higher wheat prices and other inflationary costs that have not been fully recovered on a year-to-date basis.

Gross Margin

Gross margin decreased slightly to $82.0 million (19.7% of sales) in the third quarter of 2011, from $86.9 million (21.1% of sales) last year. The margin decline reflects continued increases in raw material costs that were not fully offset through pricing.

Year-to-date gross margins decreased to $238.8 million (20.0% of sales), from $247.0 million (20.7% of sales) in the first nine months of 2010, driven by similar factors as described above.

Selling, General and Administrative Expenses

Selling, general and administrative expenses in the quarter decreased 7.2% to $50.2 million from $54.1 million last year, representing 12.0% and 13.2% of sales respectively. The decrease reflects lower marketing and promotional expenses in the fresh bakery operations, as well as benefits from changes in management structure and related personnel reductions implemented in the first quarter of 2011, as explained in the restructuring section. The divestiture of the sandwich product line in the first quarter of 2011 further contributed to lower expenses.

Year-to-date selling, general and administrative expenses decreased 4.7% to $155.2 million compared to $162.9 million last year, representing 13.0% and 13.6% of sales respectively.

Restructuring and Other Related Costs

During the nine months ended September 30, 2011, the Company recorded restructuring and other related costs of $34.2 million ($26.0 million after-tax).

During the third quarter of 2011, an amount of $1.6 million ($1.2 million after-tax) was recorded. These costs related primarily to previously announced projects, including $0.8 million related to planned or completed bakery closures in the U.K., $0.3 million related to the closure of the Laval, Quebec bakery, and $0.5 million related to the decommissioning and transfer of production from three Greater Toronto Area bakeries to the new Hamilton bakery.

During the second quarter of 2011, an amount of $12.5 million ($9.7 million after-tax) was recorded, including $4.6 million in asset write-downs, $3.5 million in lease cancellation costs, and $2.7 million in severance costs related to the sale of, or planned or completed bakery closures in the U.K., and a transition from company-owned routes to franchisee routes in Atlantic Canada. The balance of charges relate to ongoing costs incurred in connection with previously announced restructuring initiatives.

During the first quarter of 2011, the Company recorded restructuring and other related costs of $20.1 million ($15.1 million after-tax). Of this amount, $11.2 million related to asset write-downs and $2.9 million in severances related to the sale of, or planned or completed plant closures in Laval, Quebec, Delta, British Columbia and Cumbria, U.K. and the sale of the sandwich product line. The Company also recorded $5.8 million in severance costs for initiatives across the Company related to changes in management structure and related personnel reductions. The balance of charges relate to ongoing costs incurred in connection with previously announced restructuring initiatives.

During the nine months ended September 30, 2010, the Company recorded restructuring and other related costs of $13.0 million ($9.6 million after-tax).

Of this amount, $10.5 million ($7.7 million after-tax) was recorded in the third quarter. These costs related primarily to the restructuring of the specialty baked goods production process in the U.K. and accelerated depreciation and severances associated with the announced consolidation and closure of three Greater Toronto Area bakeries in the Company's fresh bakery business.

During the second quarter of 2010, the Company recorded restructuring and other related costs of $0.8 million ($0.6 million after-tax). These costs related primarily to the restructuring of the specialty baked goods production process in the U.K. and accelerated depreciation associated with the announced consolidation and closure of three Greater Toronto Area bakeries in the Company's fresh bakery business.

During the first quarter of 2010, the Company recorded restructuring and other related costs of $1.7 million ($1.3 million after-tax). These costs related primarily to pension costs and accelerated depreciation associated with the announced consolidation and closure of three Greater Toronto Area bakeries in the fresh bakery business. The balance of the charges related primarily to severances in the U.K. resulting from restructuring in the Company's specialty baked goods production process.

The following table provides a summary of costs recognized and cash payments made in respect of the above-mentioned restructuring and other related costs as at September 30, 2011, all on a pre-tax basis:

(Unaudited) ($ thousands)	Severance	Site Closing	Asset Impairment and Accelerated Depreciation	Retention	Total
Balance at January 1, 2011	$ 11,228	$ 1,456	$ —	$ 384	**$ 13,068**
Charges	8,701	49	11,138	162	**20,050**
Cash payments	(1,652)	(12)	—	—	**(1,664)**
Non-cash items	—	—	(11,138)	—	**(11,138)**
Balance at March 31, 2011	$ 18,277	$ 1,493	$ —	$ 546	**$ 20,316**
Charges	3,318	3,582	5,245	402	**12,547**
Cash payments	(4,004)	(729)	—	—	**(4,733)**
Non-cash items	—	—	(5,245)	—	**(5,245)**
Balance at June 30, 2011	**$ 17,591**	**$ 4,346**	**$ —**	**$ 948**	**$ 22,885**
Charges	**(156)**	**895**	**505**	**354**	**1,598**
Cash payments	**(3,360)**	**—**	**—**	**(159)**	**(3,519)**
Non-cash items	**—**	**(1,342)**	**(505)**	**—**	**(1,847)**
Balance at September 30, 2011	**$ 14,075**	**$ 3,899**	**$ —**	**$ 1,143**	**$ 19,117**

Interest Expense

Interest expense for the third quarter decreased to $0.3 million compared to $0.8 million last year. Year-to-date interest expense was $0.9 million compared to $2.7 million last year. The decrease in interest expense is primarily due to amortization of terminated interest rate swaps in the prior period.

Income Taxes

The Company's income tax expense is comprised of tax on earnings from operations before restructuring charges and other related costs at a rate of 15.4% (2010: 29.2%) and taxes recoverable on restructuring and other related costs at a rate of 23.9% (2010: 26.4%). The lower tax rate on operating earnings is a result of the Company recording income tax reductions aggregating $12.4 million for the year-to-date, primarily comprised of adjustments arising from a prior acquisition in its fresh bakery business. The Company's year-to-date effective tax rate before these adjustments is 30.4%.

Acquisitions and Divestitures

On September 30, 2011, the Company acquired the business of Humber Valley Bakery, a small fresh bakery in Newfoundland and Labrador for $0.6 million, with the value assigned to intangibles and customer relationships. The Company incorporated the production into its existing facilities.

On April 11, 2011 the Company completed the sale of a bakery facility in Cumbria, U.K., which resulted in cash restructuring costs of $0.3 million.

On February 18, 2011, the Company completed the sale of substantially all the remaining assets that comprise its sandwich product line to Premium Brands Inc., a Canadian manufacturer of food products, for $8.0 million. The transaction resulted in total restructuring costs of $2.9 million, of which $0.6 million were cash costs, and a gain on sale of $0.9 million. As part of the conversion to IFRS, on January 1, 2010 the Company recognized a goodwill impairment adjustment of $30.2 million.

Other Matters

On October 26, 2011 Canada Bread Company, Limited declared a dividend of $0.20 per share payable on January 3, 2012 to shareholders of record at the close of business on December 8, 2011. Unless indicated otherwise by the Company in writing on or before the time the dividend is paid, these dividends will be considered an eligible dividend for the purposes of the "Enhanced Dividend Tax Credit System".

Capital Resources

Historically, the Company has generated a significant amount of operating cash flow that has more than covered financing needs related to operational capital expenditures and restructuring costs. These operating cash flows provide a strong base of underlying liquidity, which the Company has supplemented with credit facilities to provide longer-term funding and surplus liquidity.

The Company is exposed to fluctuations in the prices of raw materials, seasonal and other market-related price changes, particularly wheat costs. Due to the high volumes and rapid turnover of inventories, the impact of these price fluctuations is generally short-term. When commodity price increases are significant, it can increase the funding required for investments in working capital. These working capital requirements will be funded from operating cash flow and from existing credit facilities. Management is of the opinion that its operating cash flow and existing credit facilities provide the Company with sufficient resources to finance ongoing business requirements and its planned capital investment program for at least the next twelve months.

As at September 30, 2011, the Company and its subsidiaries had aggregate undrawn credit facilities, excluding accounts receivable securitization programs, of $284.5 million (2010: $268.6 million), and available cash of $35.7 million (2010: $107.0 million). There were $9.8 million in letters of credit outstanding as at September 30, 2011 (2010: $9.1 million).

The Company's principal facility is a $250.0 million revolving term facility with Maple Leaf Foods Inc., which matures on December 27, 2011. The Company will begin negotiations to renew the facility during 2011. This unsecured facility is subject to certain financial covenants. As at September 30, 2011, the Company was in compliance with all of its financial covenants.

To access competitively priced financing, and to further diversify its funding sources, the Company entered into a three-year, committed accounts receivable securitization facility in October 2010. This program replaced the existing accounts receivable financing facility. Under the new facility, the Company sells certain accounts receivable, with limited recourse, to an entity owned by an international financial institution with a long-term debt rating of AAA. The receivables are sold at a discount to face value based on prevailing money market rates. At quarter end, the Company had $113.0 million (2010: $70.0 million under the former facility) of trade accounts receivable serviced under this facility. In return for the sale of its trade receivables, the Company received cash of $42.5 million and a note receivable in the amount of $70.5 million.

The securitization facility is subject to certain restrictions and requires the maintenance of certain debt ratios. The Company is in compliance with all of the requirements of the facility during the third quarter of 2011. This facility is accounted for as an off-balance sheet transaction under Canadian GAAP and continues to be accounted for in the same manner under IFRS effective January 1, 2011.

Capital Expenditures

Capital expenditures for the third quarter of 2011 were $25.1 million, compared to $25.8 million last year. Capital expenditures reflect strategic investments related to the Company's value creation plan. A significant portion of these investments was related to the construction of the new fresh bakery in Hamilton, Ontario, which began initial production in July 2011. To date, the Company has spent $85.1 million on the new bakery, and expects total investment to be in line with the initial estimate of approximately $100 million.

Year-to-date capital expenditures for the first nine months of 2011 were $88.7 million compared to $47.9 million last year driven by higher investments related to the Company's value creation plan.

Cash Flow and Financing

Cash balances, net of debt, were $31.6 million at the end of the third quarter, compared to $16.7 million as at June 30, 2011, $72.7 million as at December 31, 2010 and $95.8 million at the end of the third quarter of 2010. The decrease in the cash for the quarter is due to cash flow from operations, partly offset by investment in property and equipment.

Cash Flow From Operating Activities

Cash flow from continuing operations for the third quarter was $48.6 million compared to $44.7 million in the third quarter of 2010. The increase is largely attributable to an increase in earnings and a reduced investment in non-cash operating working capital compared to last year.

Cash Flow From Financing Activities

Cash flow from financing activities was an outflow of $8.6 million for the third quarter compared to an outflow of $0.8 million in the prior year period, due primarily to an increase in the rate of the quarterly dividend in the current period compared to the prior period.

Cash Flow From Investing Activities

Cash flow from investing activities was an outflow of $24.9 million for the third quarter compared to an outflow of $25.8 million in the prior year period, as a result of decreased capital expenditures.

Capital expenditures for the third quarter were $25.1 million compared to $25.8 million in the prior year period. Year-to-date capital expenditures for the first nine months of 2011 were $88.7 million compared to $47.9 million last year, primarily due to an investment in the new bakery facility in Hamilton, Ontario.

Credit Risk

Credit risk refers to the risk of losses due to failure of the Company's customers and counterparties to meet their payment obligations.

In the normal course of business, the Company is exposed to credit risk from its customers, substantially all of which are in the grocery and foodservice markets. The Company performs ongoing credit evaluations of new and existing customers' financial condition and reviews the collectibility of its trade and other receivables in order to mitigate any possible credit losses. As at September 30, 2011 approximately $7.3 million (2010: $3.4 million) of the Company's accounts receivable were greater than 60 days past due, primarily due to timing issues related to a process change. The Company maintains an allowance for doubtful accounts that represents its estimate of uncollectible amounts. The components of this allowance include a provision related to specific losses estimated on individually significant exposures and a provision based on historical trends of collections. As at September 30, 2011, the Company has recorded an allowance for doubtful accounts of $2.2 million (2010: $1.9 million). There are no significant impaired accounts receivable that have not been provided for in the allowance for doubtful accounts. The Company believes that the allowance for uncollectible accounts sufficiently covers any credit risk related to past due or impaired accounts receivable balances.

Employee Benefit Plans

The cost of pensions and other post-retirement benefits earned by employees is actuarially determined using the projected unit credit method calculated on service and Management's best estimate of expected plan investment performance, salary escalation, retirement ages of employees and expected heath care costs. Management employs external experts to advise them when deciding upon the appropriate estimates to use to value employee benefit plan obligations and expenses. These estimates are determined at the beginning of the year and re-evaluated if changes in estimates and market conditions indicate that there may be a significant effect on the Company's financial statements.

During the third quarter of 2011, due to a decrease in both discount rates and actual asset return rates, employee benefit liabilities reflected on the Company's balance sheet were re-valued. This resulted in an increase in employee benefit liabilities of $18.2 million. The effect of this adjustment was recorded by an $18.2 million ($13.5 million after-tax) decrease in other comprehensive income. The adjustment further resulted in a reduction in deferred tax liability of $4.7 million and a $13.5 million decrease in retained earnings.

Management considers that these adjustments, which are required to be made immediately under IFRS, as opposed to deferred and amortized under previous Canadian GAAP, are the result of significant market volatility that affect the valuation of plan assets and liabilities, and do not represent a permanent change in the long-term funded status of the Company's pension plans.

Summary of Quarterly Results

The following is a summary of unaudited quarterly financial information (in thousands of dollars except per share information):

		First Quarter	Second Quarter	Third Quarter	Fourth Quarter	Full Year
Sales [(i)]	**2011**	**$ 371,760**	**$ 406,245**	**$ 417,171**		
	2010	381,932	402,062	411,364	$ 393,079	$ 1,588,437
	2009	413,125	435,918	424,555	432,190	1,705,788
Net earnings (loss) [(i)]	**2011**	**$ (966)**	**$ 14,904**	**$ 30,256**		
	2010	12,969	20,949	14,313	$ 13,582	$ 60,975
	2009	14,882	22,537	25,050	15,009	77,478
Earnings (loss) per share						
Basic and diluted [(i)(ii)]	**2011**	**$ (0.04)**	**$ 0.59**	**$ 1.19**		
	2010	0.51	0.82	0.56	$ 0.54	$ 2.40
	2009	0.59	0.89	0.99	0.59	3.05
Adjusted EPS [(i)(ii)(iii)]	**2011**	**$ 0.56**	**$ 0.97**	**$ 1.24**		
	2010	0.56	0.85	0.87	$ 0.61	$ 2.85
	2009	0.60	0.89	1.00	0.70	3.20

(i) *The first, second and third quarters of 2011 and 2010 figures are in accordance with IFRS and the net earnings, earnings per share and adjusted earnings per share are based on amounts attributable to common shareholders. The remaining figures are in accordance with Canadian GAAP, effective on or before January 1, 2010.*

(ii) *May not add due to rounding.*

(iii) *Refer to Non-IFRS Financial Measures starting on page 7.*

Quarterly sales and net earnings in 2011 were impacted by the following significant items:

- the appreciation of the Canadian dollar relative to the U.S. dollar and the British pound which reduced the sales value of frozen bakery products sold in the U.S. and U.K.
- the sale of the fresh sandwiches product line in the Bakery Products Group at the beginning of 2011
- price increases implemented in the first half of 2011 in the Bakery Products Group, which increase overall bakery sales and offset higher commodity input costs in the second quarter of 2011; although price increases were not implemented in time to fully offset these costs in the first quarter of 2011
- lower sales volumes of fresh bakery products in the second quarter of 2011
- increased advertising and promotion spending as a result of the re-launch of the New York Bakery brand in the U.K.
- the appreciation of the Canadian dollar relative to the U.S. dollar which reduced the cost of U.S. dollar priced ingredients and to a lesser extent, lower ingredient costs
- pre-tax charges of $1.6 million ($1.2 million after-tax) in the third quarter of 2011, pre-tax charges of $12.5 million ($9.7 million after-tax) in the second quarter of 2011 and pre-tax charges of $20.1 million ($15.1 million after-tax) in the first quarter of 2011 due to restructuring and other related costs
- an income tax adjustment of $2.4 million in the first quarter and $9.8 million in the third quarter associated with a tax adjustment arising from a prior acquisition in its fresh bakery business, which resulted in a lower tax rate on operating earnings in the first and third quarters of 2011.

Quarterly sales and net earnings in 2010 were impacted by the following significant items:

- the appreciation of the Canadian dollar relative to the U.S. dollar and the British pound which reduced the sales value of frozen bakery products sales in the U.S. and U.K.
- lower volumes mostly of frozen bakery products in the U.S. and U.K.
- the appreciation of the Canadian dollar relative to the U.S. dollar which reduces the cost of U.S. dollar priced ingredients and to a lesser extent, lower ingredient costs
- increased spending to maintain market share in a competitive Canadian retail environment.

For an explanation and analysis of quarterly results, refer to Management's Discussion and Analysis for each of the respective quarterly periods filed on SEDAR and also available on the Company's website at www.canadabread.ca.

Disclosure Controls and Internal Controls Over Financial Reporting

There have been no changes in the Company's internal control over financial reporting during the period beginning on January 1, 2011 and ended on September 30, 2011 that have materially affected, or are reasonably likely to materially affect, its internal control over financial reporting.

International Financial Reporting Standards

The Company's audited consolidated financial statements for the year ending December 31, 2011 will be the first audited annual consolidated financial statements that comply with IFRS. Accordingly, the Company will make an unreserved statement of compliance with IFRS beginning with its 2011 annual consolidated financial statements. This quarter represents the third time that the Company has reported its earnings under IFRS.

The accounting policies set out in Note 3 of the Unaudited Condensed Consolidated Interim Financial Statements have been applied in preparing the financial results for the quarter ended September 30, 2011. The comparative information presented in these consolidated financial statements for the quarter ended September 30, 2010, and the consolidated balance sheets at December 31, 2010 have all been revised to reflect earnings and financial position presented in accordance with IFRS.

First-time adopters of IFRS must apply the provisions of IFRS 1 *First-time Adoption of International Financial Reporting Standards.* IFRS 1 requires adopters to retrospectively apply all effective IFRS standards as of the annual reporting date with certain optional exemptions and certain mandatory exceptions. These elections are more fully outlined in Note 13 of the Unaudited Condensed Consolidated Interim Financial Statements for the quarter ended March 31, 2011.

Significant Accounting Policies

Accounting Standards Not Yet Adopted

Financial Instruments – Recognition and Measurement

In October 2010 the IASB published amendments to IFRS 9 (IFRS 9 (2010)) which provide added guidance on the classification and measurement of financial liabilities. IFRS 9 (2010) supersedes IFRS 9 (2009) and is effective for annual periods beginning on or after January 1, 2013, with early adoption permitted. For annual periods beginning before January 1, 2013, either IFRS 9 (2009) or IFRS 9 (2010) may be applied. The Company intends to adopt IFRS 9 (2010) in its financial statements for the annual period beginning on January 1, 2013. The extent of the impact of adoption of IFRS 9 (2010) has not yet been determined.

Financial Instruments – Disclosures
In October 2010, the IASB issued amendments to IFRS 7 *Disclosures – Transfers of Financial Assets*. These amendments require disclosure of information that enables users of financial statements to understand the relationship between transferred financial assets that are not derecognized in their entirety and the associated liabilities; and to evaluate the nature of, and risks associated with, the Company's continuing involvement in derecognized financial assets. These amendments are effective for annual periods beginning on or after January 1, 2012 and therefore the Company will apply these amendments in the first quarter of 2012. The Company is currently assessing the impact of these amendments on its financial statements.

Consolidated Financial Statements
In May 2011, the IASB issued IFRS 10 *Consolidated Financial Statements*, which is effective for annual periods beginning on or after January 1, 2013, with early adoption permitted. IFRS 10 provides a single model to be applied in the control analysis for all investees. The Company intends to adopt IFRS 10 in its financial statements for the annual period beginning on January 1, 2013. The extent of the impact of adoption of IFRS 10 has not yet been determined.

Disclosure of Interests in Other Entities
In May 2011, the IASB issued IFRS 12 *Disclosure of Interests in Other Entities*, which is effective for annual periods beginning on or after January 1, 2013, with early adoption permitted. IFRS 12 contains disclosure requirements for companies that have interests in subsidiaries, joint arrangements, associates and unconsolidated structured entities. The Company intends to adopt IFRS 12 in its financial statements for the annual period beginning on January 1, 2013. The extent of the impact of adoption of IFRS 12 has not yet been determined.

Fair Value Measurement
In May 2011, the IASB published IFRS 13 *Fair Value Measurement*, which is effective prospectively for annual periods beginning on or after January 1, 2013. IFRS 13 replaces the fair value measurement guidance contained in individual IFRSs with a single source of fair value measurement guidance. The standard also establishes a framework for measuring fair value and sets out disclosure requirements for fair value measurements. The Company intends to adopt IFRS 13 prospectively in its financial statements for the annual period beginning on January 1, 2013. The extent of the impact of adoption of IFRS 13 has not yet been determined.

Presentation of Financial Statements
In June 2011, the IASB published amendments to IAS 1 *Presentation of Financial Statements: Presentation of Items of Other Comprehensive Income*, which are effective for annual periods beginning on or after July 1, 2012 and are to be applied retrospectively. Early adoption is permitted. These amendments require that a company present separately the items of other comprehensive income that may be reclassified to profit or loss in the future from those that would never be reclassified to profit or loss. The Company intends to adopt these amendments in its financial statements for the annual period beginning on January 1, 2013. The extent of the impact of adoption of these amendments has not yet been determined.

Employee Benefits
In June 2011, the IASB published an amended version of IAS 19 *Employee Benefits*. Adoption of these amendments is required for annual periods beginning on or after January 1, 2013, with early adoption permitted. These amendments are generally applied retrospectively with certain exceptions. These amendments will require actuarial gains and losses to be recognized immediately in other comprehensive income, past service costs to be fully recognized immediately in profit or loss and the recognition of expected return on plan assets in profit or loss to be calculated based on the rate used to discount the defined benefit obligation. These amendments also require other additional disclosures. The Company intends to adopt these amendments in its financial statements for the annual period beginning on January 1, 2013. The extent of the impact of adoption of these amendments has not yet been determined.

Non-IFRS Financial Measures
The Company uses the following non-IFRS measures: Adjusted Operating Earnings and Adjusted EPS. Management believes that these non-IFRS measures provide useful information to both management and investors in measuring the financial performance of the Company for the reasons outlined below. These measures do not have a standardized meaning prescribed by IFRS and therefore they may not be comparable to similarly titled measures presented by other publicly traded companies and should not be construed as an alternative to other financial measures determined in accordance with IFRS.

Adjusted Operating Earnings
The following table reconciles earnings from operations before restructuring and other related costs and other income (expense) to net earnings as reported under IFRS in the Unaudited Consolidated Interim Statements of Earnings for the three and nine month periods ended as indicated below. Management believes that this is the most appropriate basis on which to evaluate operating results, as restructuring and other related costs and other income (expense) are not representative of operational results.

(Unaudited)	Three months ended September 30, 2011		
($ thousands)	Fresh Bakery	Frozen Bakery	Consolidated
Net earnings			**$ 30,256**
Income taxes			**(74)**
Earnings from operations before income taxes			**$ 30,182**
Interest expense			**269**
Earnings from operations before interest and income taxes	**$ 28,658**	**$ 1,793**	**$ 30,451**
Other income	**86**	**(372)**	**(286)**
Restructuring and other related costs	**454**	**1,144**	**1,598**
Adjusted Operating Earnings	**$ 29,198**	**$ 2,565**	**$ 31,763**

(Unaudited)	Three months ended September 30, 2010		
($ thousands)	Fresh Bakery	Frozen Bakery	Consolidated
Net earnings			$ 14,313
Income taxes			7,172
Earnings from operations before income taxes			$ 21,485
Interest expense			823
Earnings from operations before interest and income taxes	$ 20,471	$ 1,837	$ 22,308
Other income	(67)	—	(67)
Restructuring and other related costs	10,229	283	10,512
Adjusted Operating Earnings	$ 30,633	$ 2,120	$ 32,753

(Unaudited)	Nine months ended September 30, 2011		
($ thousands)	Fresh Bakery	Frozen Bakery	Consolidated
Net earnings			**$ 44,194**
Income taxes			**4,693**
Earnings from operations before income taxes			**$ 48,887**
Interest expense			**872**
Earnings from operations before interest and income taxes	**$ 67,886**	**$ (18,127)**	**$ 49,759**
Other income	**8**	**(372)**	**(364)**
Restructuring and other related costs	**12,500**	**21,695**	**34,195**
Adjusted Operating Earnings	**$ 80,394**	**$ 3,196**	**$ 83,590**

(Unaudited)	Nine months ended September 30, 2010		
($ thousands)	Fresh Bakery	Frozen Bakery	Consolidated
Net earnings			$ 48,231
Income taxes			20,375
Earnings from operations before income taxes			$ 68,606
Interest expense			2,679
Earnings from operations before interest and income taxes	$ 68,053	$ 3,232	$ 71,285
Other income	(194)	—	(194)
Restructuring and other related costs	11,457	1,564	13,021
Adjusted Operating Earnings	$ 79,316	$ 4,796	$ 84,112

Adjusted Earnings per Share

The following table reconciles Adjusted Earnings per Share to basic earnings per share as reported under IFRS in the Unaudited Consolidated Interim Statements of Earnings for the three and nine month periods ended as indicated below. Management believes this is the most appropriate basis on which to evaluate financial results as restructuring and other related costs are not representative of operational results.

(Unaudited)	Three months ended September 30,		Nine months ended September 30,	
($ per share)	**2011**	2010	**2011**	2010
Basic earnings per share	**$ 1.19**	$ 0.56	**$ 1.74**	$ 1.90
Restructuring and other related costs [(i)]	**0.05**	0.30	**1.02**	0.38
Adjusted Earnings per Share [(ii)]	**$ 1.24**	$ 0.87	**$ 2.76**	$ 2.27

(i) *Includes per share impact of restructuring and other related costs, net of tax.*
(ii) *May not add due to rounding.*

Net Debt

The following table reconciles net debt as disclosed in this Management's Discussion and Analysis to IFRS amounts in the Unaudited Consolidated Interim Balance Sheets as at the dates indicated below. The Company calculates net debt as long-term debt and bank indebtedness, less cash and cash equivalents.

(Unaudited) ($ thousands)	**As at September 30, 2011**	As at September 30, 2010	As at June 30, 2011
Bank indebtedness	**$ —**	$ 8,070	$ —
Current portion of long-term debt	**2,449**	—	2,323
Long-term debt	**1,697**	3,117	1,675
Subtotal	**$ 4,146**	$ 11,187	$ 3,998
Cash and cash equivalents	**(35,731)**	(106,961)	(20,671)
Net Debt (cash)	**$ (31,585)**	$ (95,774)	$ (16,673)

Forward-Looking Statements

This document contains, and the Company's oral and written public communications often contain, forward-looking statements that are based on current expectations, estimates, forecasts and projections about the industries in which the Company operates and beliefs and assumptions made by the management of the Company. Such statements include, but are not limited to, statements with respect to objectives and goals, as well as statements with respect to beliefs, plans, objectives, expectations, anticipations, estimates and intentions. Specific forward-looking statements in this document include, but are not limited to, statements concerning expectations regarding actions to reduce costs and improve efficiencies, restore volumes and/or increase prices, timing of promotional investment, improving business trends, expected duplicative costs incurred during 2011 due to the concurrent operation of the new Hamilton fresh bakery and existing bakeries, the expected use of cash balances, source of funds for ongoing business requirements, capital investments and debt repayment, and expectations regarding sufficiency of the allowance for uncollectible accounts. Words such as "expect", "anticipate", "intend", "attempt", "may", "will", "plan", "believe", "seek", "estimate" and variations of such words and similar expressions are intended to identify such forward-looking statements. These statements are not guarantees of future performance and involve assumptions and risks and uncertainties that are difficult to predict.

In particular, these forward-looking statements are based on a variety of factors and assumptions that are discussed throughout this document. In addition, expectations concerning the performance of the Company's business in general are based on a number of factors and assumptions including, but not limited to: the condition of the Canadian, United States and United Kingdom economies; the rate of exchange of the Canadian dollar to the U.S. dollar and British pound; the availability and prices of raw materials, energy and supplies; product pricing; the availability of insurance; the competitive environment and related market conditions; improvement of operating efficiencies; continued access to capital; the cost of compliance with environmental and health standards; no adverse results from ongoing litigation; no unexpected actions of domestic and foreign governments and the general assumption that none of the risks identified below or elsewhere will materialize. All of these assumptions have been derived from information currently available to the Company including information obtained by the Company from third-party sources. These assumptions may prove to be incorrect in whole or in part. In addition, actual results may differ materially from those expressed, implied or forecasted in such forward-looking statements, which reflect the Company's expectations only as of the date hereof.

Factors that could cause actual results or outcomes to differ materially from the results expressed, implied or forecasted in such forward-looking statements include, among other things:

- the risks associated with implementing and executing the Company's business value creation plan;
- the risks associated with changes in the Company's shared systems and processes;
- the Company's exposure to currency exchange risks;
- the ability of the Company to hedge against the effect of commodity price changes through the use of commodity futures and options;
- the impact of international events on commodity prices and the free flow of goods;
- the risks associated with a consolidating retail environment;
- the risks posed by food contamination, consumer liability and product recalls;
- the risks related to business acquisitions and capital expansion projects;
- the risks posed by compliance with extensive government regulation;
- the risks posed by litigation;
- the impact of changes in consumer tastes and buying patterns;
- the impact of extensive environmental regulation and potential environmental liabilities;
- the risks associated with complying with differing employment laws and practices globally and the potential for work stoppages due to non-renewal of collective agreements;
- the impact on pension expense and funding requirements of fluctuations in the market prices of fixed income and equity securities and changes in interest rates;
- the risks associated with the Company's independent distributors; and
- the risks posed by competition.

The Company cautions the reader that the foregoing list of factors is not exhaustive. These factors are discussed in more detail under the heading "Risk Factors" in the Company's Management's Discussion and Analysis for the year ended December 31, 2010 and are updated each quarter in the Management's Discussion and Analysis, which are available on SEDAR at www.sedar.com. The reader should review such sections in detail. The Company does not intend to, and the Company disclaims any obligation to, update any forward-looking statements, whether written or oral, or whether as a result of new information, future events or otherwise except as required by law.

Additional information concerning the Company, including the Company's Annual Information Form, is available on SEDAR at www.sedar.com.

Canada Bread Company Limited, which is 90% owned by Maple Leaf Foods Inc. (TSX:MFI), is a leading manufacturer and distributor of fresh bakery products, frozen par-baked products and fresh pasta and sauces. The Company had 2010 sales of $1.6 billion and employs approximately 7,500 people at its operations across North America and in the United Kingdom.